

FORM TP 2008182



TEST CODE **22216020**

MAY/JUNE 2008

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION
ECONOMICS

UNIT 2 – PAPER 02

2½ hours

16 JULY 2008 (a.m.)

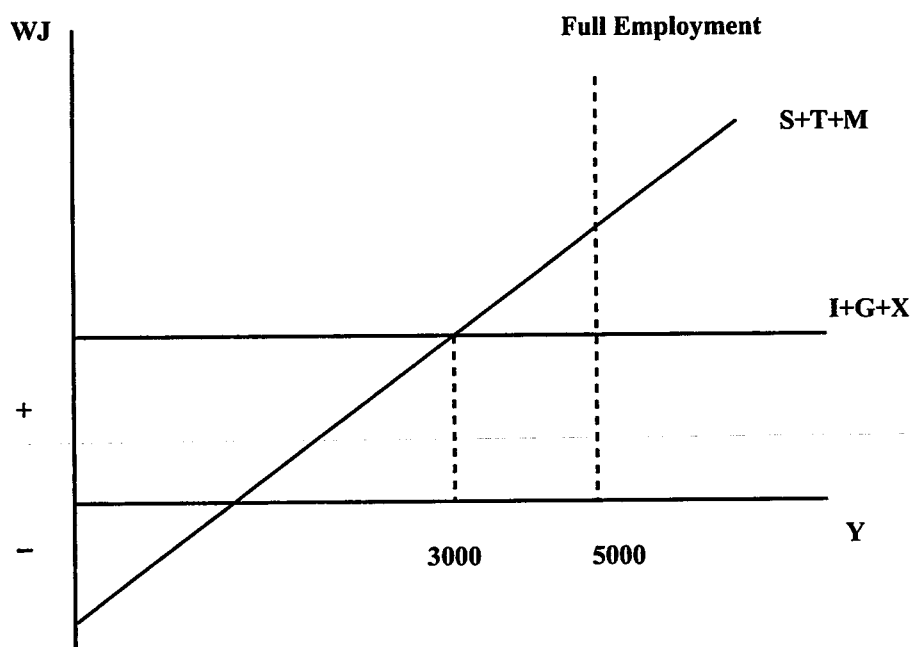
INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions. Candidates **MUST** answer **THREE** questions, **ONE** from **EACH** section.
3. Answers for **ALL** questions must be written in the answer booklet provided.
4. Candidates may use silent non-programmable calculators.

SECTION I

Answer ONE question from this section.

1. (a) Explain the difference between real Gross Domestic Product (GDP) and nominal GDP. [6 marks]
- (b) Discuss TWO methods of measuring national product. [20 marks]
- (c) Given the following diagram:



- (i) Identify the type of approach used in the above diagram. [3 marks]
- (ii) What type of gap exists in the economy above? [3 marks]
- (iii) How wide is the gap? [2 marks]
- (iv) How can the gap be closed? [6 marks]

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- (d) Calculate equilibrium aggregate income (Y) from the following information.

Consumption = $.8Y$
Investment = 100
Government spending = 80
Exports = 500
Imports = 180

[10 marks]

Total 50 marks

2. (a) According to the classical model, when the economy is in equilibrium some amount of unemployment still exists.

- (i) State the level of unemployment referred to in the statement above.

[3 marks]

- (ii) Draw a graph showing equilibrium employment.

[9 marks]

- (iii) On the same graph show disequilibrium unemployment.

[3 marks]

- (b) Explain why disequilibrium employment exists according to the classical model.

[5 marks]

- (c) Explain how, according to the classical view, the economy goes back to equilibrium employment from a position of disequilibrium.

[10 marks]

- (d) Describe FOUR types of unemployment.

[20 marks]

Total 50 marks

SECTION II

Answer ONE question from this section.

3. (a) (i) Define 'money' in economic terms. [2 marks]
- (ii) State THREE functions of money. [6 marks]
- (b) Describe FOUR tools used by the Central Bank to influence the supply of money. [16 marks]
- (c) (i) Explain what is meant by the 'money multiplier'. [4 marks]
- (ii) Outline the first FOUR rounds in the process by which banks create money, assuming an initial deposit of \$100 and a required reserve ratio of 10%. [12 marks]
- (d) (i) State the equation for the quantity theory of money. [2 marks]
- (ii) State what EACH symbol in (d) (i) above represents. [8 marks]
- Total 50 marks**
4. (a) Explain how monetary policy can have a positive impact on:
- (i) Inflation [5 marks]
- (ii) Aggregate demand [5 marks]
- (iii) Unemployment [5 marks]
- (b) Explain how fiscal policy can have a negative impact on:
- (i) Budget deficit [5 marks]
- (ii) Aggregate demand [5 marks]
- (iii) Employment [5 marks]
- (iv) Inflation [5 marks]
- (c) (i) Explain what is meant by 'automatic stabilizers'. [5 marks]
- (ii) Identify TWO examples of automatic stabilizers. [4 marks]
- (d) (i) Explain what is meant by 'national debt of a country'. [6 marks]
- (ii) Explain why 'national debt' is a burden for the country. [6 marks]

Total 50 marks

SECTION III

Answer ONE question from this section.

5. (a) (i) Outline TWO benefits of exporting goods and services. [6 marks]
- (ii) Outline TWO problems resulting from the importation of goods and services. [6 marks]
- (iii) Explain what is meant by the 'commodity terms of trade'. [3 marks]
- (iv) Identify TWO factors that determine export revenue. [4 marks]
- (b) Outline THREE factors that influence economic growth. [9 marks]
- (c) Discuss, using TWO determinants of economic growth in (b) above, why some Caribbean countries may NOT always have high rates of growth. [10 marks]
- (d) Describe FOUR structural characteristics of Caribbean economies. [12 marks]

Total 50 marks

6. (a) Define the following terms:
- Balance of trade
 - Trade deficit
 - Trade surplus
- [6 marks]
- (b) Explain what is meant by EACH of the following:
- (i) Absolute advantage [3 marks]
- (ii) Comparative advantage [3 marks]
- (iii) The exchange rate [3 marks]
- (c) Discuss TWO types of exchange rates and give examples in EACH case of Caribbean countries that use them. [10 marks]
- (d) Discuss TWO policy options that a country can use in order to correct a trade deficit. [10 marks]
- (e) Discuss the THREE lower levels of economic integration preceding the level to be attained by the CARICOM Single Market and Economy. [15 marks]

Total 50 marks

END OF TEST